Enterprise Software / North America

AI Infrastructure Demand Is Holding Up Better Than Feared; Services Mix Provides an Offset

We trim FY27 infrastructure growth assumptions after channel checks point to slower enterprise deployments, but raise our services estimates as AI orchestration usage remains resilient. Lower hardware-linked contribution is more than offset by recurring platform revenue, keeping our price target at $245.

STOCK RATING	PRICE TARGET	REFERENCE PRICE	IMPLIED UPSIDE
Overweight	$245	$182.50	34.3%

WHAT'S CHANGED?

FY27 Revenue ($M)	2,610 → **2,540**
FY27 EPS ($)	$2.35 → **$2.27**
Price Target	$245 → **$245**

Enterprise AI demand is slowing, not breaking. Our channel work indicates large customers are extending deployment timelines by one to two quarters, but the underlying pipeline remains intact. Usage-based orchestration revenue continues to grow faster than subscription seats, suggesting customers are consolidating workloads rather than abandoning AI projects – see Exhibit 1.

Services and platform mix now matter more than unit growth. We forecast AI Orchestration and Token Routing to rise to 28% of revenue by FY27E from 21% in FY25A (Exhibit 2), a mix shift that supports gross margin expansion (Exhibit 3) even alongside a more conservative infrastructure outlook.

We see limited downside to estimates from current checks. Our FY27E revenue estimate falls 2.7%, but Adjusted EBITDA declines only about 1% as lower-margin, hardware-linked activity accounts for most of the revision (Exhibit 4).

The key debate is duration, not direction. Investors appear to be discounting a full normalization in enterprise AI spending. Our work suggests the more likely path is a slower but longer adoption cycle, with services, security, and inference routing becoming the primary value drivers over the next 24 months.

REPORTKIT RESEARCH LLC
Alexander Vance, CFA
Equity Analyst
alexander.vance@example.com

Sarah Jenkins
Research Associate
sarah.jenkins@example.com

Nexa Cloud Solutions (NXCL)

STOCK RATING	Overweight
INDUSTRY VIEW	Attractive
PRICE TARGET	$245.00
SHARE PRICE	$182.50
MARKET CAP ($M)	42,850
52-WEEK RANGE	$124.10–$195.40

Fiscal Year Ending

	2025A	2026E	2027E	2028E
EPS ($)	0.57	1.39	2.27	3.18
P/E (x)	320	131	80	57
Revenue ($M)	1,520	1,985	2,540	3,165
Adj. EBITDA ($M)	366	636	917	1,217

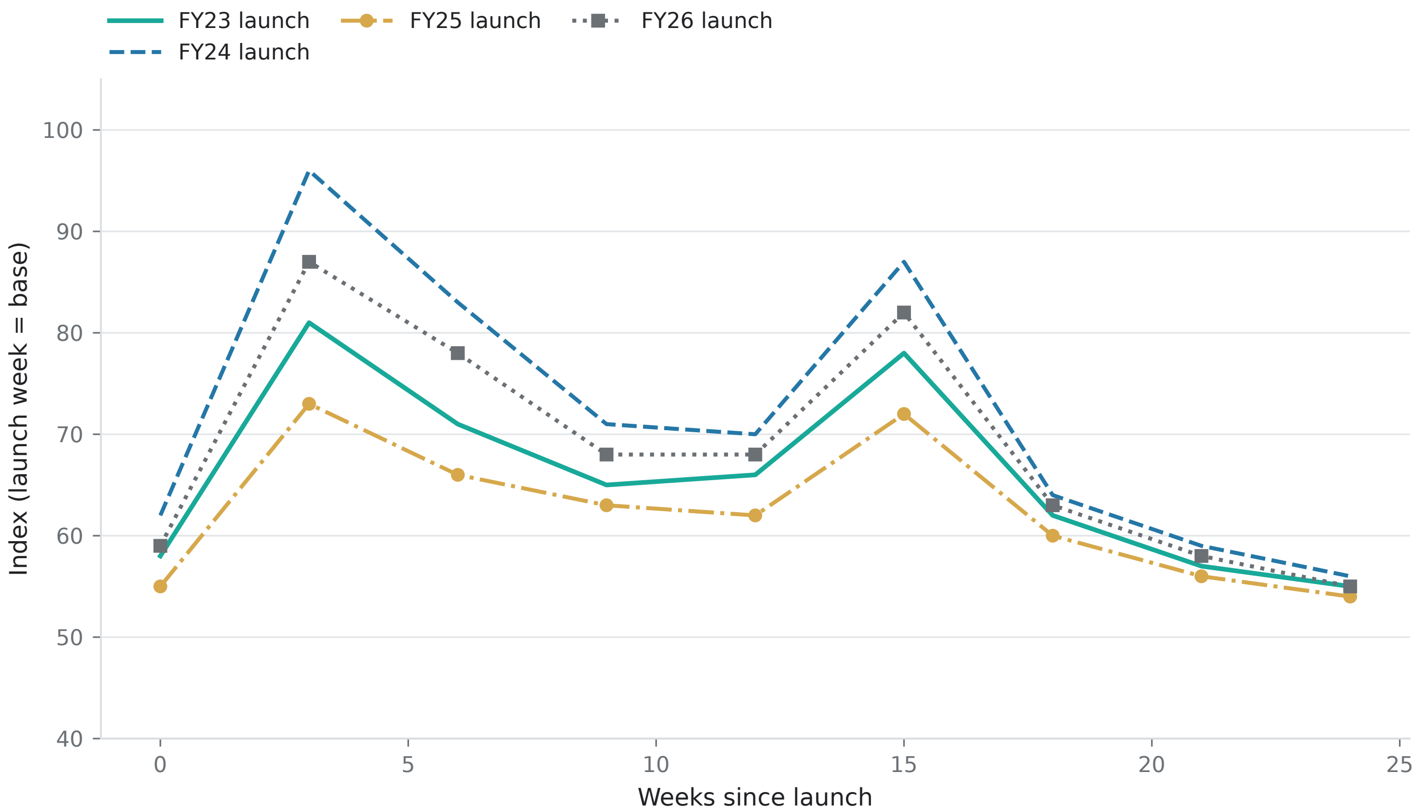
FY26 Quarterly EPS ($)

	2Q26E	3Q26E	4Q26E
Prior	0.34	0.38	0.45
Current	0.32	0.37	0.44

1Q26A ACTUAL $0.26, UNCHANGED.

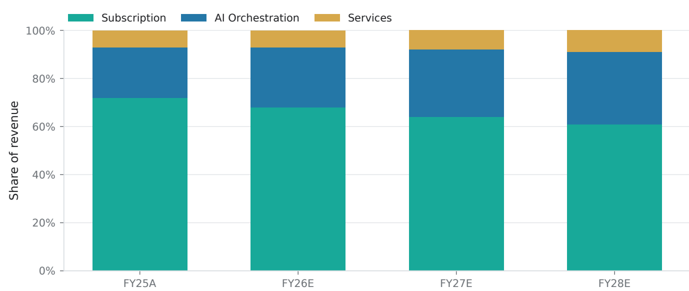
1 Analysis

Exhibit 1: Enterprise AI usage remains resilient even as deployment cycles lengthen



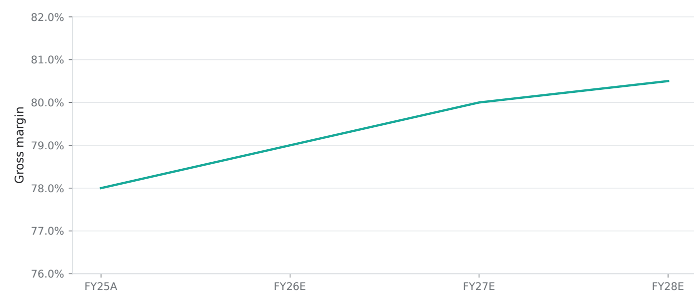
Source: Company data; ReportKit Research estimates.

Exhibit 2: Platform mix is rising as a share of total revenue



Source: Company data; ReportKit Research estimates.

Exhibit 3: Gross margin expands despite slower infrastructure growth



Source: Company data; ReportKit Research estimates.

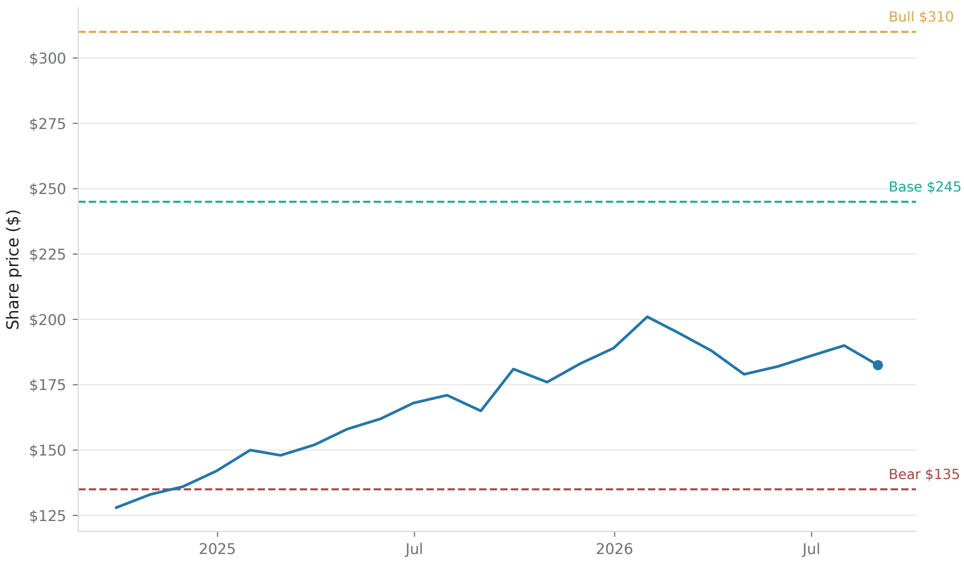
Exhibit 4: Estimate revisions are concentrated in lower-margin services activity

	FY26E			FY27E			FY28E		
Metric	New	Old	% Chg	New	Old	% Chg	New	Old	% Chg
Revenue ($M)	1,985	2,010	-1.2%	2,540	2,610	-2.7%	3,165	3,250	-2.6%
Subscription	1,350	1,360	-0.7%	1,626	1,650	-1.5%	1,940	1,970	-1.5%
AI Orchestration	496	490	+1.2%	711	690	+3.0%	950	920	+3.3%
Services	139	160	-13.1%	203	270	-24.8%	275	360	-23.6%
Adjusted EBITDA ($M)	636	631	+0.8%	917	926	-1.0%	1,217	1,233	-1.3%
EPS ($)	1.39	1.43	-2.8%	2.27	2.35	-3.4%	3.18	3.28	-3.0%

Source: ReportKit Research estimates.

2 NXCL Risk/Reward

Exhibit 5: Services mix is underappreciated by investors



Source: Company filings; ReportKit Research estimates.

PRICE TARGET

Derived from the base-case scenario in our sum-of-the-parts framework (Exhibit 7). At $245, our target implies roughly 34% upside from the current $182.50 share price.

Bull $310

23.0x FY28E EV/Sales on $3.2B revenue. Platform adoption accelerates, AI orchestration becomes the primary workload-control layer for large enterprises, and net retention stabilizes above 135%. Gross margin exceeds 81% as usage scales with limited incremental infrastructure cost.

Base $245

18.1x FY28E EV/Sales on $3.2B revenue. Enterprise deployments remain slower than the 2024–25 pace, but recurring platform revenue and usage-based routing support high-teens growth with steady margin expansion.

Bear $135

9.7x FY28E EV/Sales on $3.2B revenue. A broader IT budget slowdown delays production deployments, hyperscalers bundle competing routing software, and customers consolidate vendors. Revenue growth falls to the low teens and margin expansion stalls.

INVESTMENT THESIS

- Nexa occupies a valuable control point between enterprise applications and multiple model providers.
- Services mix should increase revenue visibility and reduce quarterly deployment cyclicality.
- Improving gross margin and sales efficiency support durable free-cash-flow conversion.

KEY DEBATES

Can AI infrastructure spending reaccelerate? Yes, but we expect the recovery to be driven by production workloads rather than experimentation.

Can hyperscalers commoditize routing? Partly – we think multi-cloud governance and data-security requirements preserve a role for independent control-plane software.

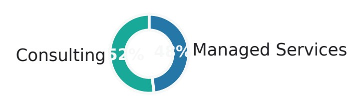
POTENTIAL CATALYSTS

- Faster enterprise migration from pilot to production.
- Expanded co-sell agreements with major cloud providers.
- Capital return once free cash flow exceeds $700M.

RISKS TO PRICE TARGET

- Hyperscaler bundling and pricing pressure.
- Customer concentration and delayed renewals.
- Regulatory constraints on enterprise AI deployment.

BUSINESS MIX



CONSULTING	52%
MANAGED SERVICES	48%

3 NXCL Financial Model

Exhibit 6: Income statement and key operating metrics

$M except per-share data	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26E	3Q26E	4Q26E	2025A	2026E	2027E	2028E
Revenue	342	366	391	421	442	478	510	555	1,520	1,985	2,540	3,165
Subscription	251	265	278	300	307	326	341	376	1,094	1,350	1,626	1,940
AI Orchestration	69	78	85	87	103	116	131	146	319	496	711	950
Services	22	23	28	34	32	36	38	33	107	139	203	275
Revenue growth (%)	34	33	32	34	29	31	30	32	33	31	28	25
Cost of revenue	78	82	86	89	94	101	107	115	335	417	508	617
Gross profit	264	284	305	332	348	377	403	440	1,186	1,568	2,032	2,548
Gross margin (%)	77.2	77.6	78.0	78.8	78.7	78.9	79.0	79.3	78.0	79.0	80.0	80.5
R&D	96	99	102	113	111	116	121	128	410	476	559	665
Sales & marketing	113	118	123	132	128	133	139	145	486	545	635	728
G&A	34	35	37	41	39	40	41	43	147	163	191	228
Operating income	21	32	43	46	70	88	102	124	143	384	647	927
Operating margin (%)	6.1	8.7	11.0	10.9	15.8	18.4	20.0	22.3	9.4	19.3	25.5	29.3
D&A	20	22	23	24	24	25	26	27	89	102	112	121
Stock compensation	31	33	35	36	36	37	38	39	135	150	158	169
Adjusted EBITDA	72	87	101	106	130	150	166	190	366	636	917	1,217
EBITDA margin (%)	21.1	23.8	25.8	25.2	29.4	31.4	32.5	34.2	24.1	32.0	36.1	38.5
Interest & other	5	5	6	6	7	7	8	8	22	30	36	42
Pretax income	26	37	49	52	77	95	110	132	165	414	683	969
Taxes	5	7	10	10	15	19	22	26	32	82	136	194
Net income	21	30	39	42	62	76	88	106	133	332	547	775
Diluted shares (M)	235	236	236	237	237	238	238	239	236	238	241	244
EPS ($)	0.09	0.13	0.17	0.18	0.26	0.32	0.37	0.44	0.57	1.39	2.27	3.18

Source: Company data; ReportKit Research estimates.

Exhibit 7: Sum-of-the-parts valuation supports a $245 price target

Segment / Metric	2027E Rev.	Multiple	EV ($M)	Weight	Value/Share
Core Subscription	1,626	21.4x EV/Sales	34,796	61%	$144.38
AI Orchestration	711	30.0x EV/Sales	21,330	37%	$88.51
Services	203	5.0x EV/Sales	1,015	2%	$4.21
Enterprise Value			**57,141**	**100%**	
(+) Net cash			1,860		$7.72
Equity Value			**59,001**		
Diluted shares (M)			241		
Price Target (rounded)					**$245**

Source: Company data; ReportKit Research estimates. Figures are fictional and for design demonstration only. Component value-per-share figures sum to $244.82 (2dp rounding against the unrounded $244.90) before rounding to the $245 published target.